Cobalt Bank Procurement Redline

Document ID: CBG-ITPROC-REDLINE-2026-05 **For Discussion:** Northstar Observability Renewal

REQUESTED CHANGES

Clause	Current Draft	Cobalt Requested Change	Procurement Rationale
Annual recurring revenue	$1,260,000	**$1,100,000** Year 1 ceiling	CFO budget cap
Payment terms	Net-30	**Net-90**	Standard supplier policy
Auto-renewal	Auto-renewal with 90-day non-renewal notice	**Remove auto-renewal;** explicit written renewal only	Avoid missed notice windows
Renewal notice	90 days	**30 days** if auto-renewal remains	Legal policy
Price uplift	5% annual uplift cap after initial term	**36-month price lock;** no uplift	Budget certainty
SLA	99.9% uptime	**99.99%** uptime	Banking reliability requirement
SLA credits	10% monthly fee cap	**Uncapped** or materially higher credits	Mission-critical service
Termination	No termination for convenience	**60-day** termination for convenience	Risk control
Benchmarking	Not included	Right to benchmark and **reduce price if market price is lower**	Procurement governance

PROCUREMENT POSITION

> *Cobalt can recommend Northstar if the revised package materially improves Year 1 budget impact, payment timing, and legal control.*

Target Preferred Path

- **$1,100,000** Year 1 ARR
- **Net-90** payment terms
- **No auto-renewal**
- **36-month** price lock
- **99.99% SLA** with stronger credits

Acceptable Fallback Path

- **$1,170,000** Year 1 ARR
- **Net-60** payment terms
- **60-day** renewal reminder process
- **Stronger SLA reporting**
- Narrower **4%** annual uplift cap

- Termination for convenience after **60 days**

- No termination for convenience if other movement is meaningful